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Texas Instruments Reports Higher Profit

TI boosted its quarterly dividend to 50 cents a share and issued guidance in line with analyst estimates

By Anne Steele

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Texas Instruments reported third-quarter results on Wednesday. PALM BEACH POST/ZUMA PRESS

Texas Instruments Inc. **TXN -2.96%** ▼ said profit shot up 21% in the latest quarter as continued strong demand in the automotive and industrial sectors helped the chip maker report results just above its forecast.

The company also issued guidance for the current quarter in line with analyst estimates, and it increased its quarterly dividend by 32% to 50 cents a share, or \$2 a year.

Shares, up 31% so far this year through Wednesday's close, lost 1% to \$71 in after-

hours trading.

The Dallas-based company is among the suppliers for Apple Inc. TI, maker of chips used in everything from cellphones to industrial equipment, has focused on analog chips--which have a high-profit margin--and embedded processors, the “brains” of many electronic devices from electric toothbrushes to driver-assistance systems in autos.

Analysts have said headwinds could pick up in the second half of the year amid possible weakness in auto and industrial markets, which have so far boosted the company’s results.

But on Wednesday Chief Executive Rich Templeton said demand continued to be strong in the automotive market, improved in the industrial market and remained even in the personal electronics market.

In the latest period, sales of analog chips improved 6.5% to \$2.32 billion, while sales of embedded processors rose 10% to \$795 million.

Over all for the September quarter, TI reported a profit of \$968 million, or 94 cents a share, up from \$798 million, or 76 cents a share, a year earlier. Revenue climbed 7.2% to \$3.68 billion

TI had guided for earnings between 81 cents and 91 cents a share on revenue between \$3.3 billion and \$3.6 billion.

For the fourth quarter, TI said it expects earnings of 76 cents to 86 cents a share on revenue of \$3.17 billion to \$3.43 billion. Analysts polled by Thomson Reuters have predicted 79 cents a share in earnings on \$3.3 billion in revenue.

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Anne Steele covers the music industry for The Wall Street Journal's entertainment bureau in Los Angeles. She was previously a breaking corporate news reporter in New York, and got her start at the Journal as an intern in the Detroit bureau covering the auto industry. Anne writes about the people and the companies that release, distribute...

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